Microsoft

First Quarter Fiscal Year 2027 Results

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This presentation contains forward-looking statements, which are any predictions, projections, or other statements about future events. These statements are based on current expectations and assumptions that are subject to risks and uncertainties. Actual results could materially differ because of factors discussed in today's earnings press release, in the comments made during the conference call, and in the Risk Factors section and other sections of our Form 10-K, Forms 10-Q, and other reports and filings with the Securities and Exchange Commission. We do not undertake any duty to update forward-looking statements.

Agenda

Financial Summary and Highlights

Segment Summary and Highlights

Appendix

All growth comparisons in this presentation relate to the corresponding period of last fiscal year unless otherwise noted. Numbers may not foot due to rounding.

FY27 Q1 Summary

($ in billions, except per share amounts)	GAAP and CC results			
	FY27 Q1	FY26 Q1	Growth	CC Growth*
Agents and Infra	$76.8	$61.7	25%	25%
Devices and Consumer	$15.5	$16.0	(3)%	(3)%
Revenue	**$92.3**	**$77.7**	**19%**	**19%**
Cost of revenue	$29.7	$24.0	24%	24%
Gross margin	**$62.6**	**$53.6**	**17%**	**17%**
Gross margin percentage	*68%*	*69%*	*(1) pt*	–
Operating expense	$16.6	$15.7	6%	6%
Operating income	**$45.9**	**$38.0**	**21%**	**22%**
Operating income percentage	*50%*	*49%*	*1 pt*	–
Other income and expense	**$0.0**	**$(3.7)**	–	–
Net income	**$36.6**	**$27.7**	**32%**	**33%**
Diluted earnings per share	**$4.92**	**$3.72**	**32%**	**33%**

Summary of Results

- Revenue increased 19% driven by Agents and Infra
- Cost of revenue increased 24% driven by Agents and Infra
- Gross margin dollars increased 17%
- Operating expenses increased 6% driven by continued investments in R&D compute capacity and talent
- Total company headcount decreased 2% year-over-year
- Operating income increased 21% (up 22% CC) and operating margins increased slightly driven by strong revenue growth, platform efficiency gains, and focused investments across our portfolio, partially offset by sales mix shift to Azure
- Other income and expense was $38 million, compared to $(3.7) billion in the prior year, which included losses on investments in OpenAI
- Effective tax rate was 20%
- Diluted earnings per share was $4.92, up 32% (up 33% CC)

**See Appendix for reconciliation of GAAP and non-GAAP measures, including constant currency ("CC")*

FY27 Q1 Impact from Investments in OpenAI

The following table adjusts for the impact from investments in OpenAI and reconciles our financial results reported in accordance with generally accepted accounting principles (GAAP) to non-GAAP financial results

($ in billions, except per share amounts)	FY27 Q1			FY26 Q1			Growth		
	As Reported (GAAP)	Impact from OpenAI*	As Adjusted (non-GAAP)	As Reported (GAAP)	Impact from OpenAI*	As Adjusted (non-GAAP)	% Y/Y GAAP	Net Impact from OpenAI*	% Y/Y Non-GAAP
Other income and expense	$0.0	$(0.3)	$(0.2)	$(3.7)	$4.1	$0.4	–	$(4.3)	–
Net income	**$36.6**	**$(0.2)**	**$36.4**	**$27.7**	**$3.1**	**$30.8**	**32%**	**$(3.3)**	**18%**
Diluted earnings per share	**$4.92**	**$(0.03)**	**$4.89**	**$3.72**	**$0.41**	**$4.13**	**32%**	**$(0.44)**	**18%**

May not foot due to rounding

**Impact from OpenAI adjusts for the impact from investments in OpenAI. See Appendix for reconciliation of GAAP and non-GAAP measures.*

FY27 Q1 Highlights

Financial Highlights

Cash Returned to Shareholders

- Returned $10.2 billion to shareholders with $7.3 billion in dividends and $2.9 billion in share repurchases

Capital Expenditures

- Capital expenditures, including assets acquired under finance leases, increased 30% to $45.2 billion to support customer demand across the Microsoft Cloud. Roughly three-quarters of capital expenditures were for short-lived assets, primarily CPUs and GPUs, which support demand for Azure, Microsoft 365 cloud, R&D, and continued replacement of end-of-life server and networking equipment. The remainder was for long-lived assets which will support long-term monetization.
- Cash paid for property and equipment was $39.4 billion, up 103%, primarily driven by spend on short-lived assets. Growth was higher than capital expenditures driven by timing differences between receipt of goods and payment and a lower mix of finance leases.
- Finance leases were $7.4 billion with full principal value recognized at the time of lease commencement

Cash Flow

- Cash flow from operations was $58.0 billion, up 29%, driven by strong cloud billings and collections
- Free cash flow was $18.6 billion reflecting higher capital expenditures as we invest against strong demand

Trended Metrics

	FY26 Q1	FY26 Q2	FY26 Q3	FY26 Q4	FY27 Q1
Capital expenditures *(in billions)*	$34.9	$37.5	$31.9	$41.0	$45.2
Cash paid for property and equipment *(in billions)*	$19.4	$29.9	$30.9	$35.8	$39.4
Finance leases *(in billions)*	$11.1	$6.7	$4.7	$5.6	$7.4
Short-lived asset mix of capital expenditures	~half	~2/3's	~2/3's	~2/3's	~3/4's

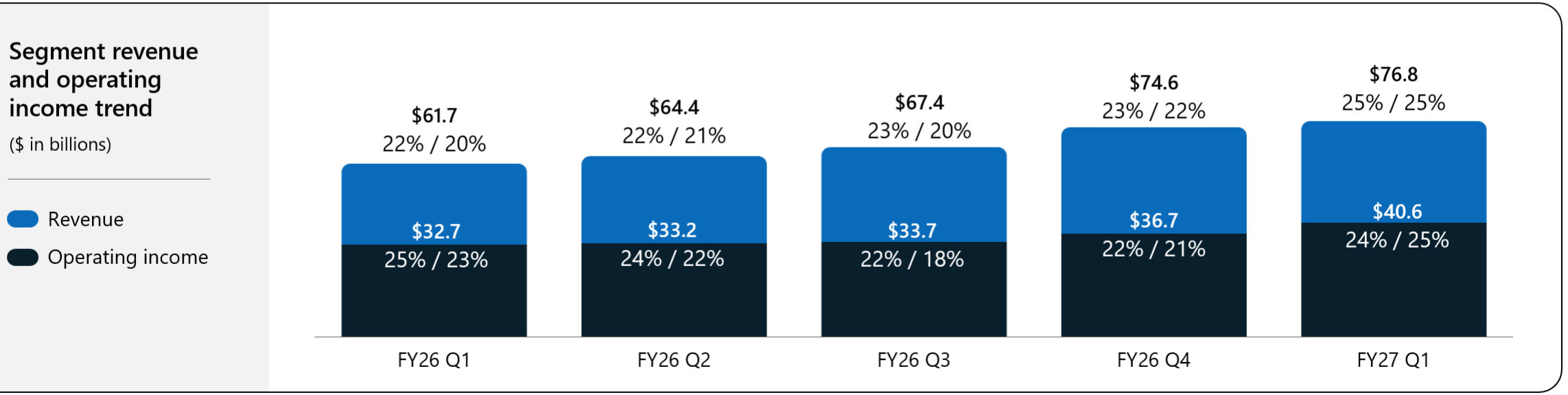
FY27 Q1 Summary | Agents and Infra

Segment Results

- Revenue increased 25% driven by Azure
- Cost of revenue grew 35% driven by investments in datacenter infrastructure to support growing customer demand across Azure and Microsoft 365 cloud
- Gross margin dollars grew 20% (up 21% CC)
- Operating expenses grew 10% driven by continued investments in R&D compute capacity and talent
- Operating income grew 24% (up 25% CC) and operating margins decreased slightly as strong revenue growth, platform efficiency gains, and focused investments across our portfolio were more than offset by sales mix shift to Azure

Segment revenue and operating income trend

($ in billions)



Growth rates include non-GAAP CC growth (GAAP % / CC %)

Includes non-GAAP constant currency ("CC") growth. See Appendix for reconciliation of GAAP and non-GAAP measures. Growth rates in GAAP and CC are equivalent unless otherwise noted.

FY27 Q1 Highlights | Agents and Infra

Business Highlights

Commercial Bookings and Commercial Remaining Performance Obligation

- Commercial bookings decreased 12% (down 11% CC) driven by the impact from large Azure commitments in the prior year, partially offset by healthy growth in our commercial sales motions inclusive of a large Azure commitment this quarter
- Commercial remaining performance obligation (RPO) of $677 billion grew 73%, with a smaller sequential decline relative to historical seasonality due to the large Azure commitment this quarter. RPO has a weighted average duration of 2.3 years, with roughly 30% to be recognized in revenue in the next 12 months, up 29%, and the remaining portion, recognized beyond the next 12 months, increased 98%.

Microsoft Cloud

- Microsoft Cloud revenue of $63.9 billion increased 30% (up 31% CC), reflecting strong demand across Azure and Microsoft 365 commercial cloud
- Microsoft Cloud gross margin percentage decreased year-over-year to 66% driven by sales mix shift to Azure, partially offset by product-level margin improvements primarily in Azure

Trended Investor Metrics

	FY26 Q1	FY26 Q2	FY26 Q3	FY26 Q4	FY27 Q1
Commercial bookings growth *(y/y)*	112% / 111%	230% / 228%	(4)% / (6)%	10% / 11%	(12)% / (11)%
Commercial remaining performance obligation *(in billions)*	$392	$625	$627	$678	$677
Microsoft Cloud revenue *(in billions)*	$49.1	$51.5	$54.5	$59.3	$63.9
Microsoft Cloud revenue growth *(y/y)*	26% / 25%	26% / 24%	29% / 25%	27%	30% / 31%
Microsoft Cloud gross margin percentage	68%	67%	66%	65%	66%

Growth rates include non-GAAP CC growth (GAAP % / CC %)

Microsoft Cloud includes Azure, Microsoft 365 commercial cloud, and Industry solutions cloud. Includes non-GAAP constant currency ("CC") growth. See Appendix for reconciliation of GAAP and non-GAAP measures. Growth rates in GAAP and CC are equivalent unless otherwise noted.

FY27 Q1 Highlights | Agents and Infra

Business Highlights

Azure

- Azure revenue grew 48% driven by strong demand for services across the platform with continued growth across all workloads

Microsoft 365 Cloud

- Microsoft 365 commercial cloud revenue grew 18% (up 19% CC) on an adjusted basis, normalized for a 1-point benefit from in-period revenue recognition in the prior year, and grew 17% (up 18% CC) on a reported basis. Growth was driven by higher revenue per user, reflecting continued upsell to premium seat offerings, including Microsoft 365 Copilot, E5, and E7, as well as increased consumption of usage-based services, primarily in GitHub Copilot. Microsoft 365 commercial seats grew 5% driven by installed base expansion across all customer segments, primarily SMB and frontline worker offerings.
- Microsoft 365 consumer cloud revenue grew 17% (up 16% CC) driven by growth in revenue per user and Microsoft 365 consumer subscriber growth of 7%

Productivity and Server Licensing

- Productivity and server licensing revenue declined 3% (down 2% CC) driven by a decrease in transactional purchasing as we lap the benefit from product launches in the prior year, partially offset by a greater mix of contracts that carry higher in-period revenue recognition

Industry Solutions

- Industry solutions cloud revenue grew 10% with growth in Dynamics 365 and LinkedIn Talent Solutions, though bookings trends continued to moderate

Frontier and Support Services

- Frontier and support services revenue grew 4% (up 5% CC) driven by Customer Success Support

Trended Investor Metrics

	FY26 Q1	FY26 Q2	FY26 Q3	FY26 Q4	FY27 Q1
Azure revenue growth *(y/y)*	40% / 39%	39% / 38%	40% / 39%	42%	48%
Microsoft 365 commercial cloud revenue growth *(y/y)*	18% / 15%	17% / 15%	20% / 16%	16% / 15%	17% / 18%
Microsoft 365 commercial seat growth *(y/y)*	7%	7%	6%	7%	5%
Microsoft 365 consumer cloud revenue growth *(y/y)*	26% / 25%	29% / 27%	33% / 29%	24% / 22%	17% / 16%
Industry solutions cloud revenue growth *(y/y)*	11% / 9%	12% / 10%	14% / 10%	11% / 9%	10%

Growth rates include non-GAAP CC growth (GAAP % / CC %)

Includes non-GAAP constant currency ("CC") growth. See Appendix for reconciliation of GAAP and non-GAAP measures. Growth rates in GAAP and CC are equivalent unless otherwise noted.

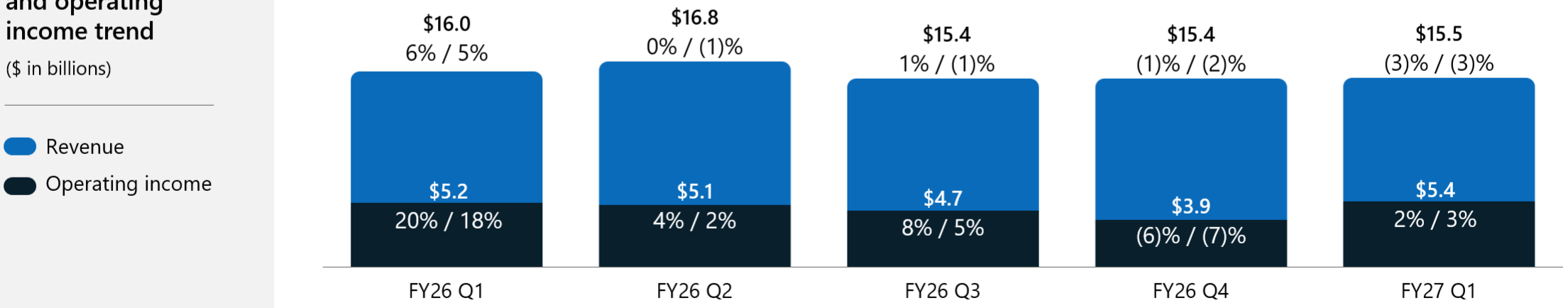
FY27 Q1 Summary | Devices and Consumer

Segment Results

- Revenue declined 3% driven by Windows OEM and devices, partially offset by Search and advertising
- Cost of revenue declined 8% driven by lower amortization of intangible assets from the Activision acquisition
- Gross margin dollars were relatively unchanged
- Operating expenses declined 3% driven by XBOX, partially offset by continued investments in R&D compute capacity and talent
- Operating income grew 2% (up 3% CC) and operating margins increased, driven by lower amortization of intangible assets from the Activision acquisition, partially offset by the impact from a lower mix of Windows OEM revenue

Segment revenue and operating income trend

($ in billions)



Growth rates include non-GAAP CC growth (GAAP % / CC %)

Includes non-GAAP constant currency ("CC") growth. See Appendix for reconciliation of GAAP and non-GAAP measures. Growth rates in GAAP and CC are equivalent unless otherwise noted.

FY27 Q1 Highlights | Devices and Consumer

Business Highlights

Search and Advertising

- Search and advertising revenue excluding traffic acquisition costs increased 12% driven by higher rate and volume across LinkedIn, Edge, and Bing

XBOX

- XBOX content and services revenue decreased 2% (down 1% CC) driven by declines in third-party content and XBOX Game Pass, partially offset by growth in first-party content
- XBOX hardware revenue decreased 14%

Windows OEM and Devices

- Windows OEM and devices revenue decreased 22% driven by the benefit from Windows 10 end of support demand in the prior-year, inventory drawdowns by OEM and channel partners, as well as weaker PC market demand

Trended Investor Metrics

	FY26 Q1	FY26 Q2	FY26 Q3	FY26 Q4	FY27 Q1
Search and advertising revenue (ex. TAC) growth *(y/y)*	16% / 15%	13% / 12%	14% / 11%	13% / 12%	12%
XBOX content and services revenue growth *(y/y)*	1% / 0%	(5)% / (6)%	(5)% / (7)%	(10)%	(2)% / (1)%
Windows OEM and devices revenue growth *(y/y)*	5%	(1)%	(2)% / (3)%	(7)% / (8)%	(22)%

Growth rates include non-GAAP CC growth (GAAP % / CC %)

Includes non-GAAP constant currency ("CC") growth. See Appendix for reconciliation of GAAP and non-GAAP measures. Growth rates in GAAP and CC are equivalent unless otherwise noted.

Appendix

Product and Service Offerings Revenue

	Three Months Ended September 30,	
($ in millions)	**2026**	**2025**
Azure	$33,165	$22,384
Microsoft 365 cloud	$27,778	$23,694
Productivity and server licensing	$8,407	$8,678
Search and advertising	$6,554	$5,942
XBOX	$5,379	$5,508
Industry solutions	$5,337	$4,894
Windows OEM and devices	$3,551	$4,551
Frontier and support services	$2,108	$2,022
Total revenue	**$92,279**	**$77,673**

Non-GAAP Reconciliation | Impact from investments in OpenAI

($ in millions, except per share amounts)	Three Months Ended September 30,									
	2026			2025			Percentage Change Y/Y			
	As Reported (GAAP)	Adjustment*	As Adjusted (non-GAAP)	As Reported (GAAP)	Adjustment*	As Adjusted (non-GAAP)	GAAP	Constant Currency	Non-GAAP	Non-GAAP Constant Currency
Other income and expense	**$38**	$(272)	**$(234)**	**$(3,660)**	$4,061	**$401**	–	–	–	–
Effective tax rate	20%	0 pts	20%	19%	1 pt	20%	1 pt	–	1 pt	–
Net income	**$36,629**	$(207)	**$36,422**	**$27,747**	$3,086	**$30,833**	32%	33%	18%	19%
Diluted earnings per share	**$4.92**	$(0.03)	**$4.89**	**$3.72**	$0.41	**$4.13**	32%	33%	18%	19%

*Adjustment is the impact from investments in OpenAI

The non-GAAP measures adjust for the impact from investments in OpenAI. We believe these non-GAAP measures aid investors by providing additional insight into our operational performance and help clarify trends affecting our business. For comparability of reporting, management considers non-GAAP measures in conjunction with GAAP financial results when evaluating business performance. The non-GAAP financial measures should not be considered as a substitute for, or superior to, the measures of financial performance prepared in accordance with GAAP.

Non-GAAP Reconciliation | Constant Currency

($ in millions, except per share amounts)	Three Months Ended September 30,								
	2026		2025		Percentage Change Y/Y			Percentage Change Y/Y	
	As Reported (GAAP)	As Adjusted (non-GAAP)	As Reported (GAAP)	As Adjusted (non-GAAP)	GAAP	Non-GAAP	Constant Currency Impact	Constant Currency	Non-GAAP Constant Currency
Revenue	**$92,279**	–	**$77,673**	–	19%	–	**$(309)**	19%	–
Cost of revenue	**$29,720**	–	**$24,043**	–	24%	–	**$(12)**	24%	–
Gross margin	**$62,559**	–	**$53,630**	–	17%	–	**$(297)**	17%	–
Operating expenses	**$16,644**	–	**$15,669**	–	6%	–	**$0**	6%	–
Operating income	**$45,915**	–	**$37,961**	–	21%	–	**$(297)**	22%	–
Net income	**$36,629**	**$36,422**	**$27,747**	**$30,833**	32%	18%	**$(242)**	33%	19%
Diluted earnings per share	**$4.92**	**$4.89**	**$3.72**	**$4.13**	32%	18%	**$(0.03)**	33%	19%

We present constant currency information to provide a framework for assessing how our underlying businesses performed excluding the effect of foreign currency rate fluctuations. To present this information, current and comparative prior period results for entities reporting in currencies other than United States dollars are converted into United States dollars using the average exchange rates from the comparative period rather than the actual exchange rates in effect during the respective periods. The non-GAAP financial measures presented should not be considered as a substitute for, or superior to, the measures of financial performance prepared in accordance with GAAP. All growth comparisons relate to the corresponding period in the last fiscal year.

Non-GAAP Reconciliation | Constant Currency

Segment Revenue

($ in millions)	2026	2025	Percentage Change Y/Y		Percentage Change Y/Y
	As Reported (GAAP)	As Reported (GAAP)	GAAP	Constant Currency Impact	Constant Currency
	Three Months Ended September 30,				
Agents and Infra	**$76,795**	**$61,672**	25%	**$(290)**	25%
Devices and Consumer	**$15,484**	**$16,001**	(3)%	**$(19)**	(3)%

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Non-GAAP Reconciliation | Constant Currency

Segment Cost of Revenue

Three Months Ended September 30, 2026

	Percentage Change Y/Y (GAAP)	Constant Currency Impact	Percentage Change Y/Y Constant Currency
Agents and Infra	35%	0%	35%
Devices and Consumer	(8)%	0%	(8)%

Segment Gross Margin

Three Months Ended September 30, 2026

	Percentage Change Y/Y (GAAP)	Constant Currency Impact	Percentage Change Y/Y Constant Currency
Agents and Infra	20%	1%	21%
Devices and Consumer	0%	0%	0%

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Non-GAAP Reconciliation | Constant Currency

Segment Operating Expense

Three Months Ended September 30, 2026

	Percentage Change Y/Y (GAAP)	Constant Currency Impact	Percentage Change Y/Y Constant Currency
Agents and Infra	10%	0%	10%
Devices and Consumer	(3)%	0%	(3)%

Segment Operating Income

Three Months Ended September 30, 2026

	Percentage Change Y/Y (GAAP)	Constant Currency Impact	Percentage Change Y/Y Constant Currency
Agents and Infra	24%	1%	25%
Devices and Consumer	2%	1%	3%

We present constant currency information to provide a framework for assessing how our underlying businesses performed excluding the effect of foreign currency rate fluctuations. To present this information, current and comparative prior period results for entities reporting in currencies other than United States dollars are converted into United States dollars using the average exchange rates from the comparative period rather than the actual exchange rates in effect during the respective periods. The non-GAAP financial measures presented should not be considered as a substitute for, or superior to, the measures of financial performance prepared in accordance with GAAP. All growth comparisons relate to the corresponding period in the last fiscal year.

Non-GAAP Reconciliation | Constant Currency

Selected Product and Service Offerings

Three Months Ended September 30, 2026

	Percentage Change Y/Y (GAAP)	Constant Currency Impact	Percentage Change Y/Y Constant Currency
Commercial bookings	(12)%	1%	(11)%
Commercial remaining performance obligation	73%	0%	73%
Microsoft Cloud	30%	1%	31%
Azure	48%	0%	48%
Microsoft 365 commercial cloud	17%	1%	18%
Microsoft 365 consumer cloud	17%	(1)%	16%
Productivity and server licensing	(3)%	1%	(2)%
Industry solutions cloud	10%	0%	10%
Frontier and support services	4%	1%	5%
Search and advertising revenue (ex. TAC)	12%	0%	12%
XBOX content and services	(2)%	1%	(1)%
Windows OEM and devices	(22)%	0%	(22)%

We present constant currency information to provide a framework for assessing how our underlying businesses performed excluding the effect of foreign currency rate fluctuations. To present this information, current and comparative prior period results for entities reporting in currencies other than United States dollars are converted into United States dollars using the average exchange rates from the comparative period rather than the actual exchange rates in effect during the respective periods. The non-GAAP financial measures presented should not be considered as a substitute for, or superior to, the measures of financial performance prepared in accordance with GAAP. All growth comparisons relate to the corresponding period in the last fiscal year.

Non-GAAP Reconciliation | Cash Flow

($ in millions)	Three Months Ended September 30, 2026	2025	Percentage Change Y/Y
Net cash from operations (GAAP)	**$58,000**	**$45,057**	**29%**
Additions to property and equipment	$(39,367)	$(19,394)	103%
Free cash flow	**$18,633**	**$25,663**	**(27)%**

Free cash flow is included as an additional clarifying item to aid investors by providing additional insight into our operational performance and helping clarify trends affecting our business. This non-GAAP financial measure should not be considered as a substitute for, or superior to, the measures of financial performance prepared in accordance with GAAP.



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